

R-02 — Process narrative

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Manual journals approved before posting

Control	Manual journals approved before posting (R-02)
Sub-process	Reconciliations
Nature / frequency	Automated · Recurring
Control owner	D. Rao, Financial Controller
Provided by	Group Finance
Version	v3.1 · effective 1 April 2025

Purpose

This narrative describes how manual journals approved before posting operates at Airline Group Ltd, and the risk it is maintained against: unsupported or unauthorised journals and accruals misstate the ledger.

How the control operates

The journal walked was JV-26-04417, a revenue accrual reversal of INR 63.4 lakh entered on 12 February 2026 by the revenue accountant and posted the same day after approval.

The workflow block is the control the risk register names against R-50 — unsupported or unauthorised journals misstating the ledger. We traced it to that risk and to the accuracy and occurrence assertions. A manual journal entered in SAP is parked, not posted; the document cannot reach the ledger until the approval step completes, which is how the control comes to address the risk of an entry reaching the books with nobody but its author behind it.

Approval is routed by value against the delegation of authority, and the routing limit is configured rather than judged: journals up to INR 25 lakh route to the Financial Controller, above that to the Finance Director. The threshold is held in the workflow configuration and changes to it are under change control. We confirmed JV-26-04417 at INR 63.4 lakh routed to the Finance Director, as the configured limit requires.

Roles

The approver is independent of the preparer. The workflow will not route a document back to its own author — the rule is enforced in configuration, not by convention, so a journal cannot be approved by the person who keyed it and the step cannot be bypassed. We attempted to re-route the walked document to its preparer in the test client and the workflow refused it.

Records kept

The operation of the control is evidenced and retained. Every parked document carries the SAP workflow log: who entered it, who approved it, the timestamp of each step, and the supporting attachment. We inspected the audit trail for JV-26-04417 and it showed entry at 09:41, approval at 14:02 by the Finance Director, and posting at 14:02. The log is retained for the full period and cannot be edited by finance users.

Owner: D. Rao (Financial Controller) · Reviewed annually · Next review 1 April 2026